

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish reversal	Short-term bearish continuation
Performance rank	15 out of 36	15 out of 19
Breakeven failure rate	23%	13%
Average drop	15%	21%
Volume trend	Downward	Downward
Pullbacks	58%	61%
Percentage meeting price target	50%	45%

The Results Snapshot shows the important statistical results for descending triangles. For the highest average rise, your best bet is to trade triangles with upward breakouts in bull markets. In bear markets, the descending triangle with an upward breakout does well, with a performance rank of seventh where a rank of 1 is the best.

Bear markets with downward breakouts have the lowest failure rate rank (not shown, 14 out of 19 where 1 has the fewest failures). The failure rank is a count of how many descending triangles fail to see price move more than 5% after the breakout when compared to other chart patterns.

Volume trends downward most often as the snapshot shows. Throwbacks and pullbacks happen less often than we see in other chart patterns (which is about 66%). The “percentage meeting price target” needs work, too. By cutting the height used in the measure rule, we can improve the target accuracy. We’ll see how to do that in Trading Tactics section.

Before then, though, let's take a gander at this chart pattern.

Tour

[Figure 65.1](#) shows a descending triangle that is typical in many respects. Price rises to meet a down-sloping trendline on the top of the pattern and falls back. It rebounds off a horizontal trendline along the base of the